Department of Education
SCHOOLS DIVISION OF CITY OF MEYCAUAYAN
Pag-asa St., Malhacan, City of Meycauayan, Bulacan

Senior High School

12

Activity Sheet in

Fundamentals of Accountancy,Business and Management 1

Completing the Accounting Cycle

FINANCIAL STATEMENTS

ABM_FABM11- IVa-d -34

COMPLETING THE ACCOUNTING CYCLE

LET US KNOW

Accounting is intended to prepare the financial statement of the company . In continuation of our topic, we will appreciate the usefulness of financial statements op and develop skills in preparation of financial statement . We will discover how financial statements are interrelated with each other.

LET US REVIEW

Choose the letter of the correct of an answer. Write your answer in a separate sheet of paper.

1. Which of the following transactions will not result in the recognition of an expense? _____.
   a. A cash withdrawal by an owner
   b. Expiration of prepaid insurance
   c. Interest accrued on a bank loan.
   d. Use machinery during the period.
2. The accountant may spread the cost of a building over many years primarily because the_____
   a. Fiscal year assumption
   b. Going Concern Assumption
   c. Periodicity assumptions
   d. Periodicity assumptions and going concern assumptions.
3. Which of the following accounts would probably need to be adjusted at year-end?
   a. Land
   b. Notes Payable
   c. Supplies
   d. Withdrawals
4. Which of the following is an example of accrual?
   a. Bookkeeping fees collected but not yet earned.
   b. Equipment purchased for use in the business.
   c. Interest earned but not yet received.
   d. Six months' rent in advance.
5. Which of the following accounts would likely not need to be adjusted at year-end?
   a. Land
   b. Office Supplies
   c. Prepaid Advertising
   d. Unearned Revenue

LET US STUDY

The following are the frequently asks questions of the accounting users in the business,

1. How much did the business entity earn?
2. What is the financial condition of my business?
3. How much is the owner's interest in the entity today?
4. What happened to the cash receipts?
5. Where did the cash go?

These are the questions often needs to be addressed and answer could only be found in the financial statement . As per March 2018 Conceptual Framework for Financial Reporting (2018 Conceptual Framework) state that a financial statement objective is to provide a financial information that is useful to the accounting users.

Financial Statements

- Statement of Financial Position as of the end of the period (Balance Sheet)
- Statement of Financial Performance for the period (Income Statement)
- Statement of Change in Equity for the period
- Statement of Cash Flows for the period.
- Notes to Financial Statements

Preparing Financial Statement

Statement of Financial Performance (Income Statement) is a statement displaying components of profit or loss. It shows the performance of the enterprise for a given period.

	Yanzon Law Office		
	Statement of Financial Performance		
	For the Period of March 31 2021		
Revenues			
	Legal Service Revenues		**₱500,000.00**
Less : Expenses			
	Salaries Expense	15,000.00	
	Utilities Expense	5,000.00	
	Rent Expense	25,000.00	
	Interest Expense	5,000.00	
	Total		**50,000.00**
	Net Profit/ Loss		**₱450,000.00**

Figure 1 Statement of Financial Performance

Statement of Changes in Equity summarizes the changes that occurred in owner's equity. The statement is now required statement (per revised Philippine Accounting Standards (PAS) No.1. Changes in enterprise equity between two balance sheet dates reflect the increase or decrease in its net assets during the period.

Yanzon Law Office	
Statement of Changes in Equity	
For the Period of March 31,2024	
Yanzon's Beginning Capital	₱250,000.00
Add : Additional Investment	50,000.00
Total	**₱300,000.00**
Add : Net Profit	450,000.00
Total	**₱750,000.00**
Less : Withdrawals	250,000.00
Yanzon's End Capital	**₱500,000.00**

Figure 2 Statement of Changes in Equity

Statement of Financial Position

It is a statement that shows the financial position or condition of an entity by listing the assets, liabilities, and owner's equity as at specific date. This statement is also called the balance sheet. It presents entity's liquidity, financial flexibility, ability to generate profit at solvency.

- **Liquidity** refers to the availability of cash soon after taking account of the financial commitments over period.
- **Financial flexibility** refers to ability to take effective actions to alter the amounts and timings of cash flow so that it can respond in unexpected needs and opportunities.
- **Solvency** refers to the availability of cash over long-term financial commitments.

Accounts found in the **Statement of Financial Position are called permanent account or real accounts. Real accounts** are permanent an in nature and are not closed at the end of the accounting period. They are **forwarded to the next accounting period. The date of this statement is always "as at" or "as of" the end of the period.**

Preparation of Statement of Financial Position

In preparation of **Statement of Financial Position,** it is important to remember the accounting equation.

Asset =Liabilities + Owner's

Statement of Financial Position has two major parts – **its heading and body.**

Heading displays:

- The legal name of the business enterprise as it is registered with securities and exchange commission, the Department of Trade and Industry, or other government agencies. Being a separate entity.
- The title of Financial Statement , Statement of Financial Position.
- The particular date as of when the financial condition of the business is being reported which is usually as of the end of the month.

Body displays :

- **Asset** is an economic resources owned by reporting entity.
- **Liabilities** is an economic obligation of the enterprise.
- **Equity** is the residual claim of the owners over assets of business enterprises

Statement of Financial Position Presentation- Service Entity

	Yanzon Law Office
	Statement of Financial Position
	As of December 31,2019
	ASSETS
Current Assets	
Cash	₱500,000.00
Accounts Receivable	15,000.00
Supplies	25,000.00
Total Current Assets	₱540,000.00
Non Current Assets	
Office & Furniture	₱25,000.00
Office Equipment	15,000.00
Total Non Current Assets	₱40,000.00
Total Assets	**₱580,000.00**
	LIABILITIES AND OWNERS EQUITY
Current Liabilities	
Accounts Payable	₱10,000.00
Salaries Payable	15,000.00
Utilities payable	5,000.00
Total Current Assets	**₱30,000.00**
Non- Current Liabilities	
Mortgage Payable	**₱ 50,000.00**
Owners Equity	
Yanzon, Capital	**₱500,000.00**
Total Liabilities and Owner's Equity	**₱580,000.00**

Figure3.Statement of Financial Position

Notes to Financial Statement is prepared as reference to the details of the total amount. reported to the Statement of Financial Position. It is a narrative description or disaggregation of items presented in the financial statements and information about items that do not qualify for recognition. Notes also contain information that does not fit into the body of the statements to enhance the understandability of statements (Conrado Valix 2015).

Cash flow statement is under (PAS 7). The objective of the standard is to require provision on the historical changes in cash and cash equivalents of an entity by means of a cash flow statement which classifies cash flow during the period from operating, investing and financing activities. The purpose of this financial report is to provide users of financial statement with a basis to assess the ability of an entity to generate cash and cash equivalent, and ability of a firm to source out and utilized cash available within the firm.

Cash flow is a conjunction with the rest of the financial statement which evaluates the changes in net assets of an entity, its financial structure and timing in adapting to the changes in business environment.

Definition of Terms :

- **Cash** comprises cash on hand and demand deposit.
- **Cash equivalents** are short-term, highly liquid investments that are readily convertible to known amount of cash and which are subject to an insignificant risk of changes in value.
- **Cash Inflow are** inflows and outflows of cash and cash equivalents.
- **Inflows** of cash means cash is received by the company or there is an increase in amount of cash account. Inflow of cash is also called **cash receipt**.
- **Outflow** of cash means cash is paid by the company or there is a decrease in the amount of cash account. Outflow of cash is also called cash **payment. Cash Flow Statement was** originally called Statement of Sources and Use of Cash.

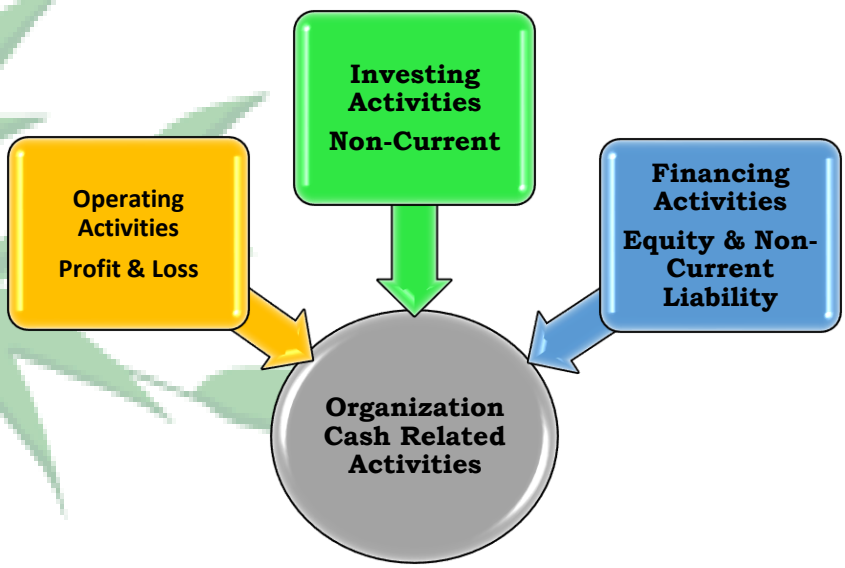

Figure 4. Organization cash related activities

Method of Cash Flow

Direct Method converts individual cash receipts and cash payment to cash inflows(sources of cash) and cash outflow (usage of cash).

Indirect Method makes the necessary adjustment to net income to arrive at the net cash flow from operating activities. The process necessitates the analysis of changes in balance sheet accounts. **Only cash flow from operating activities uses indirect method**. Cash flows from investing activities and financing activities uses direct method.

Classification of Cash Flows	
	Examples
Cash flow from operating activities are the principal revenue-producing activities of the entity. This is essentially the conversion of income statement items to inflow and outflow of cash It involved income statement account and current asset account except (short-term investment such as trading securities or marketable securities) and current liabilities account and buy and sell of all non-current assets.	• Cash receipts from sale of goods and rendering of service (+) • Cash receipts from royalties, fees, commission, and other revenue (+) • Cash payment to suppliers of goods and services (-) • Cash payment to employees (-) • Cash Payments to income taxes (-) • Interest paid (-) • Interest received (+) • Dividend Received (+)
Cash flow from investing activities are acquisition and disposal of long-term assets and **short-term and long-term investments** and buy and sell of all non-current assets.	• Cash to acquire property, plant, and equipment (-) • Cash payments to acquire intangible assets (-) • Cash receipt from sale of property plant and equipment (+) • Cash receipts from sale of intangible assets (+) • Cash receipts from sale of long-term assets (+)
Cash flow from financing activities are activities that result in changes in the size and composition of contributed and borrowing of entity. It involves all liabilities related to borrowings from financial institution and all accounts in the equity section except net income (included the operating activities).	• Cash investment from owners (+) • Cash proceeds from the bank loans (+) • Cash distribution to owners (-) • Repayment of loans (-)

Yanzon Law Office	
Statement of Cash Flows	
For the Period Ended December 31,2019	
CASH FLOW FROM OPERATING ACTIVITIES	
Cash receipts from rendering services	₱200,000.00
Cash Payment to suppliers of Goods and services	-₱160,000.00
Net Cash flow from operating activities	**₱40,000.00**
CASH FLOW FROM INVESTING ACTIVITIES	
Purvhase of Property, Plant and Equipment	**-₱20,000.00**
Net Cash flow from Investing activities	**-₱20,000.00**
CASH FLOW FROM FINANCING ACTIVITIES	
Proceeds from cash investment of owners	₱250,000.00
Proceeds from bank loans	₱100,000.00
Payment to owners	-₱120,000.00
Net Cash flow from financing activities	**₱230,000.00**
Net Increase in Cash	**₱250,000.00**
Cash at the beginning of the period	**₱250,000.00**
Cash at the end of the period	**₱500,000.00**

Figure 5. Statement of Cash Flow

LET US PRACTICE

Analyze the following statement given. If the statement stated is correct write **True** and **False** if the statement stated is incorrect .

1. _____ The balance sheet is also known as the Statement of Financial Position.
2. _____ The heading for an income statement might include the line "As at December 31,2019
3. _____ The statement of changes in equity discloses the withdrawals during the period.
4. _____ The purchase of equipment is an example of financing activity.
5. _____Financial statements cannot be prepared correctly until all the accounts have been adjusted.
6. _____Buying and producing goods and services are examples of operating activities.
7. _____ The wages payable would appear on the income statement.
8. _____ Paying taxes to the government is an example of a financing activity.
9. _____ The statement of changes in equity relates the income statement to the balance sheet by showing how the owner's Capital account changed during the accounting period.
10. _____ The balances of the accumulated Depreciation accounts will appear on the credit side of the worksheet's Balance Sheet column.

LET US REMEMBER

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LET US APPRECIATE

Create a complete set of financial statements of your future business venture . Observed the correct format and the accounts that must be included in the report.

Rubrics	
10 pts.	Correct format and all key feature of Financial Statemement was presented very well. Elements was presented completely and with correct computation. Double ruling of final answer was also executed.
7 pts.	Correct format and all key features of Financial Statement was presented however double ruling was not executed and presentation of elements is not organized.

5 pts.	Incorrect format Financial Statement Lacks key feature or element, double ruling was not executed yet it was neatly presented
3 pts.	Presented output does not comply with correct format, miss out key features and report was unorganized.

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LET US PRACTICE MORE

Ms. Dinah Nakaisa is the manager of Aliw Cinema in Meycauayan Bulacan . She asked the accounting department to prepare Financial Statements for December 2019. She will present the report to the owner, Mr. Artororot Balot for management committee assembly. The following are the consolidated account balances as of December 2019.

Cash	₱86,330.00
Equipment	₱105,100.00
Projection Equipment	₱184,220.00
Sound System	₱165,410.00
Office Furniture and Fixture	₱10,560.00
Office Equipment	₱15,790.00
Transportation equipment	₱140,300.00
Accounts Payable- Regal Film	₱50,500.00
Accounts Payable- Seiko Film	₱120,600.00
Notes Payable- Star Studio	₱30,300.00
Balot, Capital	₱178,710.00
Balot , Withdrawal	₱45,300.00
Admission Income	₱850,980.00
Advertising Expense	₱11,750.00
Salary Expense	₱10,100.00
Film- rental Expense	₱280,400.00
Repair and Maintenance	₱13,810.00
Rent Expense	₱110,000.00
Utilities Expense	₱11,800.00
Taxes and Licenses	₱41,500.00
Miscellaneous Expense	₱7,720.00
Interest Income	₱9,000.00

EVALUATION

The May 31, 2019 trial balance for Jeanelle Aragon Surveyors is presented as follows:

Aragon Surveyor Office
Trial Balance
May 31,2021

Particulars	Debit	Credit
Cash	₱210,000.00	
Accounts Receivable	₱930,000.00	
Prepaid Advertising	₱360,000.00	
Engineering Supplies	₱270,000.00	
Survey Equipment	₱1,890,000.00	
Accum. Depreciation-Survey- Eqpt		₱640,000.00
Accounts Payable		₱190,000.00
Unearned Survey Revenue		₱120,000.00
Notes Payable		₱500,000.00
Aragon, Capital		₱1,120,000.00
Aragon , Withdrawals	₱700,000.00	
Survey Revenues		₱6,510,000.00
Salaries Expense	₱3,270,000.00	
Rent Expense	₱960,000.00	
Insurance Expense	₱250,000.00	
Utilities Expense	₱160,000.00	
Miscellaneous Expense	₱80,000.00	
Total	**9,080,000.00**	**9,080,000.00**

The following information pertaining to the year-end adjustments is available.

a. The ₱360,000 prepaid advertising represents expenditure made on November 1, 2018 for monthly advertising over the next 18 months.
b. A count of the engineering supplies on May 31, 2019 amounted ₱90,000.
c. Depreciation on the surveying equipment amounted to ₱160,000.
d. One-third of the unearned survey revenues has been earned at year-end.
e. At year-end, salaries in the amount of ₱140,000 have accrued.
f. Interest of (₱60,000 on the note's payable has accrued at year-end.

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CAROLINA S. VIOLETA, EdD
Schools Division Superintendent

JERRY D. CRUZ, PhD, CESE
Asst. Schools Division Superintendent

DOMINADOR M. CABRERA, PhD
Chief, Curriculum Implementation Division

EDWARD C. JIMENEZ, PhD
Education Program Supervisor- LR Manager

JOCELYN A. MANALAYSAY, PhD
Education Program Supervisor-MATH

MAURYL P. MAULAWIN
Layout Artist

CHARMAINE S. TUMANGAN
Developer/Writer